

S&P Global Eurozone Composite PMI[®]

Euro area growth hits strongest in almost three-and-a-half years

September 2026

S&P Global Eurozone Composite PMI Output Index at 53.1 (Aug: 52.0). 41-month high

S&P Global Eurozone Services PMI Business Activity Index at 53.0 (Aug: 51.6). 10-month high.

Fastest rates of inflation since May

Growth in the eurozone economy continued to gather pace in September, latest PMI[®] survey data from S&P Global revealed, rounding off a robust third quarter of 2026. Private sector business activity increased at the quickest rate in nearly three-and-a-half years as demand improved and employment rose. The outlook remained relatively moderate, however, while inflationary pressures intensified. Input costs and prices charged both rose to the greatest extents since May.

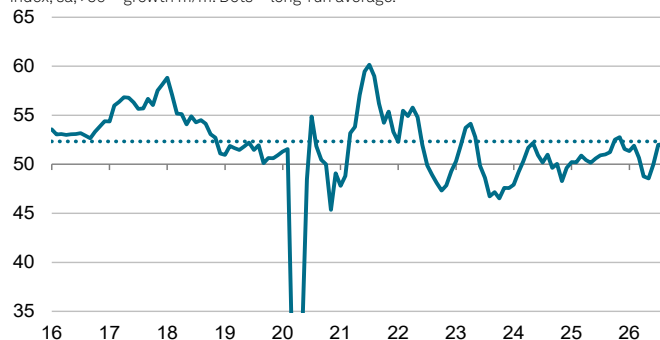
The seasonally adjusted S&P Global Eurozone Composite PMI[®] Output Index – a weighted average of the Manufacturing PMI Output Index and the Services PMI Business Activity Index – rose from 52.0 in August to 53.1 in September. This was the highest level for nearly three-and-a-half years and signalled a solid expansion in private sector business activity.

Growth reflected broad-based strength, according to underlying sector data, with output in both the manufacturing and service industries expanding at faster rates at the end of the third quarter. It was a similar story at the national level, with all five of the countries with Composite PMI data available recording an expansion – the first time this has been the case since last November. As has often been the case in recent years, Spain had the fastest-growing economy in September, followed by Ireland. Germany's upturn accelerated further and was among the strongest seen since early-2022. Meanwhile, modest growth rates were seen for Italy and France.

Demand for eurozone goods and services continued to improve in September, completing a full quarter of growth. Overall, the pace of increase ticked up to a 41-month high. Export* performances were supportive of this overall demand expansion, with new orders from foreign clients rising at the sharpest rate in over four-and-a-half years.

Capacity pressures emerged during the latest survey period. For the first time since June 2022, backlogs increased at eurozone companies, reflecting a rise in outstanding

S&P Global Eurozone Composite Output PMI
Index, sa, >50 = growth m/m. Dots = long-run average.



Data were collected 10-25 September 2026.
Source: S&P Global PMI. ©2026 S&P Global.

Comment

Chris Williamson, Chief Business Economist at S&P Global Market Intelligence:

"The fastest growth of the service sector since last November indicates that the eurozone economic upturn is both accelerating and broadening out beyond manufacturing. The collective signal from the PMI surveys is one of GDP growing at a 0.4% quarterly rate, with momentum accelerating as we head into the fourth quarter.

"While both Germany and France saw encouraging returns to growth of services activity for the first times since March and last December respectively, and Italy reported an expansion for a fourth successive month, the best performer by far was Spain, where a turbo-charged September rounded off its best quarter for five years.

"Although the drivers of growth vary between countries, across the eurozone as a whole IT-related services are showing especially solid growth, buoyed by AI investments and supported by professional and commercial services growth. Perhaps more surprising is the resilience of consumer-oriented services growth, given recent energy price hikes, notably driving the above-par growth in Spain.

"A renewed upturn in price pressures signalled by the survey meanwhile hints at eurozone inflation running closer to 4% than the ECB's 2% target. Combined with the acceleration of growth indicated by the PMI, the data will spur further speculation of more aggressive monetary policy tightening."

business across both the manufacturing and service sectors. With workloads rising, firms hired additional staff during September. Another marginal expansion in workforce numbers was registered at the end of the third quarter, marking sustained job creation after August's increase.

Eurozone companies continued to look to the future with optimism, although expectations remained subdued by historical standards. The service sector dragged sentiment lower, as confidence in the manufacturing industry rose to a seven-month high.

Lastly, price pressures intensified during September. Input cost and output charge inflation rates accelerated sharply, although they remained below their recent peaks seen in May. At the sector level, price increases remained stronger at manufacturers.

*includes intra-eurozone trade.

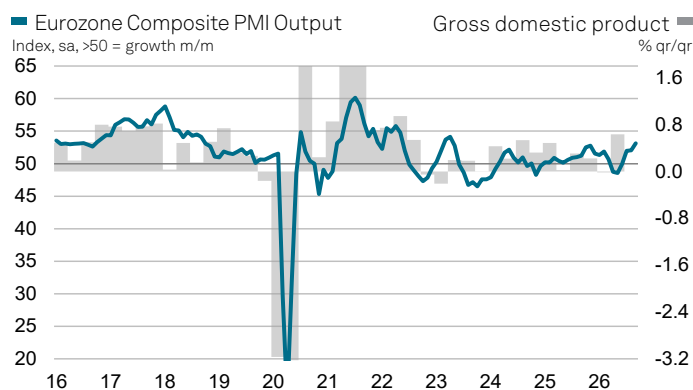
S&P Global Eurozone Services PMI

The S&P Global Eurozone Services PMI Business Activity Index posted its highest reading since last November, rising from 51.6 in August to 53.0 in September. The latest figure – which was the third above the 50.0 no-change level in as many months – pointed to a sustained expansion in the euro area's services economy.

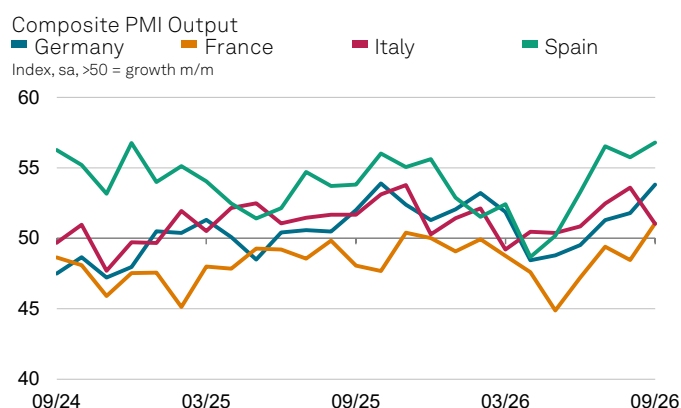
New business intakes likewise rose for a third straight month in September. The rate of growth was the joint-strongest since last November (equal to July of this year and December 2025). Domestic customers were the main drivers of sales activity as new export volumes were unchanged from August.

Eurozone services firms were unable to complete orders as quickly as they received them, as evidenced by backlog accumulation in September. This marked the first time since October last year that firms reported a rise in outstanding work. Meanwhile, job creation continued, in line with the trend seen in virtually every month for more than five-and-a-half years (May 2026 being the sole exception). Employment growth slowed slightly from that seen in August, however.

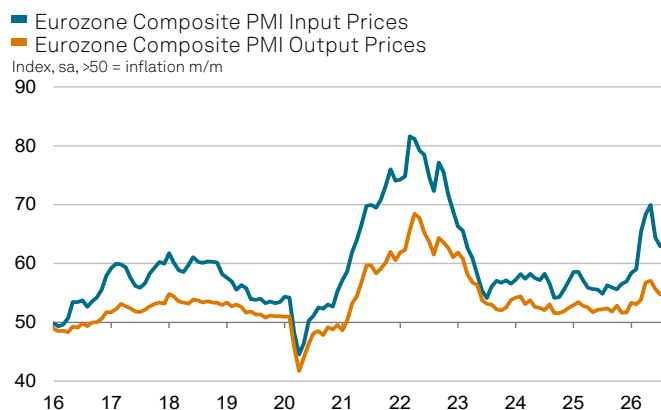
Service providers in the eurozone became notably more aggressive when setting their prices in September, with charges increasing at the sharpest pace since February 2024. In comparison, cost inflation quickened to a four-month high.



Sources: S&P Global PMI, Eurostat via S&P Global Market Intelligence. © 2026 S&P Global



Source: S&P Global PMI. ©2026 S&P Global.



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Methodology

The S&P Global Eurozone Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of manufacturers and service providers in eight nations, totalling around 5,000 private sector companies. The panels are each stratified by detailed sector and company workforce size, based on contributions to each country's GDP.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each manufacturing and services survey variable, at the country level. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Eurozone level indices for manufacturing and services are calculated by weighting together the country indices using national manufacturing and services annual value added (source: Eurostat). Composite eurozone level indices are calculated by weighting comparable manufacturing and services indices using eurozone manufacturing and services annual value added (source: Eurostat).

The headline composite figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

Flash data were calculated from 85% of final responses. Since January 2006 the average difference between final and flash Composite PMI values is 0.0 (0.3 in absolute terms). Flash services data were calculated from 79% of final responses. Since January 2006 the average difference between final and flash Services PMI Business Activity Index values is 0.1 (0.3 in absolute terms).

For further information on the PMI survey methodology, please contact economics@spglobal.com.

S&P Global

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